Conference Call Notes: US-Iran talks and escalation outlook

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US-Iran talks and escalation outlook

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Escalation remains the most likely scenario (60% odds, down from 65%), as a deal moves further out of reach and the odds of a prolonged standoff rise to 30% amid tighter US political constraints after the midterms.
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President Donald Trump has less political and material room to act, while Iran is taking a harder negotiating position and is unlikely to offer upfront nuclear concessions.
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We would adjust our odds downward if Republicans coalesce around the decision to go to war in Iran as the cause for midterm losses, if supplemental defense funding becomes tied to a specific timeline for ending the war, if GOP members back an upcoming war powers resolution, or if Secretary of State Marco Rubio argues for maintaining the status quo over escalation.

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Scenario Update: Escalation Still Base Case, Standoff Rising

Eurasia Group has revised its scenario probabilities. Escalation drops slightly to 60% (from 65%), a deal is increasingly unlikely, and the standoff scenario rises to 30% (from 15%). The upward revision on

standoff reflects growing political resistance within the US system to military action, not any softening by Iran.

The window for Trump to act is narrowing on both military and political dimensions. US offensive and defensive weapons stockpiles are under stress. The political coalition that supported the war is fracturing post-midterms. Both constraints are closing simultaneously.

Iran's Position: Hardening, Not Softening

Iran's demands remain steep and are, if anything, becoming less flexible. Tehran insists the US resume the June Memorandum of Understanding (MoU), end the blockade, unfreeze frozen funds, restore the oil sanctions waiver, and acknowledge joint Iran-Oman control over the Strait of Hormuz — before any nuclear discussions begin.

Iran views the Republican midterm defeat as a strategic success — confirmation that its strategy of imposing economic and political costs on the US is working. That perception makes concessions less, not more, likely.

Iran faces its worst economic crisis since the 1980s. Oil revenue will be essentially zero entering 2027, GDP is contracting, and consumer pressure is mounting. However, the regime retains the resources to keep the Islamic Revolutionary Guard Corps (IRGC) funded and operational, and has mobilized its hardline base around the war. Economic pain is unlikely to force political concessions.

US Political Dynamics

There are four signals that would lead us to shift the escalation call:

1.
The Vance position — that the Iran war caused midterm losses — becomes the dominant GOP view, echoed by members who will anchor Trump's new political coalition. Vance's comment leaves some ambiguity, seized upon by figures like Newt Gingrich and Ari Fleischer, for an argument that it was the decision not to decisively end the war early in the year that created the electoral headwinds.
2.
Supplemental defense funding is explicitly tied to a defined end to the war in Iran.
3.
GOP members sign onto a Democratic war powers resolution — unlikely, but a clear signal of maximum pressure if it occurs.
4.
Secretary of State Marco Rubio publicly endorses the status quo position being advocated by Director of Central Intelligence John Ratcliffe.

Government funding expires December 11. If a short-term continuing resolution (CR) passes, Democrats could use the March debate as early leverage. Supplemental defense funding is the more consequential vehicle. A war powers resolution override—or any other veto override—requires a two-thirds majority, which remains beyond Democrats' majority in either chamber.

What Escalation Would Look Like

Two options are actively being debated in the White House. Option one: a short, intense bombing campaign targeting missile and drone stockpiles, civilian infrastructure, power generation, and port links

— designed to force a capitulatory deal. Option two: a symbolic, shorter-duration strike allowing Trump to declare victory and close the door on the conflict while maintaining the convoy system.

Iran has signaled it will retaliate aggressively and disproportionately — targeting US military bases (where it has seen increasing success), regional energy infrastructure, undersea cables, and smaller states hosting US forces, specifically Bahrain, Kuwait, and Jordan. Iran has avoided striking the UAE and Saudi Arabia directly since April.

Both sides can sustain the current standoff for the near term, but not indefinitely. The binding US constraint is tanker attrition from Iranian drone strikes — if Iran maintains its current success rate, global capacity to sustain flows through the Strait of Hormuz becomes the limiting factor.

Regional Dynamics: GCC Diversifying, Israel in Flux

GCC states — including the historically more hawkish UAE — uniformly prefer continued economic isolation of Iran over military escalation. They do not want a performative strike that fails to change Iranian behavior but opens them to massive retaliation against energy and civilian infrastructure.

Saudi Arabia, Turkey, and Pakistan convened in Tehran in a last-ditch mediation effort and a hedge against expected Iranian retaliation. Saudi Arabia's National Security Advisor visited Beijing alongside Iranian and Omani counterparts — a signal that the GCC is actively seeking Chinese involvement in a future detente. Ukraine, South Korea, France, and the UK are all expanding defense relationships in the Gulf as US reliability declines.

On Israel: the base case (60%) is a minority government under opposition leader Eisenkot, supported by Arab parties, with the ultra-orthodox moving away from Netanyahu. This government is expected to be unstable, with a 30% probability of early elections; we give a unity government 10% odds. Netanyahu has an incentive in the interim period to push for US escalation against Iran to reshuffle the political deck. Israel acting alone against Iran is not likely — Israeli capabilities are insufficient to address the nuclear program without US involvement.

Key Watch Items

1.
Congressional return on November 9 — whether supplemental defense funding becomes contingent on an end to the Iran war.
2.
December 11 government funding deadline — and whether a short-term CR passes, giving Democrats leverage in March.
3.
Rubio's public positioning — if he endorses the status quo on Iran, that is a significant shift in the administration's internal balance.
4.
Vance's influence on GOP caucus — whether his framing of the war as the cause of midterm losses becomes party consensus.
5.
Iranian response to the Qatari proposal — whether flexibility on sequencing of nuclear talks signals any real shift or is a delay tactic.

1.

Tanker attrition rate — Iranian drone strike success against tankers is the binding long-term constraint on the status quo for both sides.

What Clients Are Asking

Iranian retaliation scope: Clients asked how aggressively Iran would respond. Speakers indicated Iran has shifted toward disproportionate retaliation, with explicit targets including US military bases, regional energy infrastructure, undersea cables, and smaller Gulf states hosting US forces.

Sustainability of the standoff: Clients questioned which side can hold longer. Both can sustain the current posture near-term; the binding US constraint is tanker attrition from Iranian drone strikes, not weapons stockpiles at current burn rates.

Congressional leverage and war powers: Clients focused on whether Congress can force Trump's hand. Speakers assessed supplemental defense funding as the real lever; a war powers resolution override is unlikely given the two-thirds threshold.

Israel's role and the risk of unilateral action: Clients asked whether Netanyahu could act alone. Speakers assessed this as a real but unlikely possibility — Israeli capabilities are insufficient without US involvement, though Netanyahu has political incentives to push for action in the government-formation interregnum.

Please note that while this AI generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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